

Large and frequent provisions and write off

We must be careful when a company does large write-offs frequently, say every 2-3 years. Why is the company doing a significant write-off at the cost of shareholders? Write-offs mean writing off items as losses. This creates grounds for promoters (or anyone involved) to benefit and then write them off as, say, restructuring expenses. Thus, we must be careful about such write-offs. Even if the intent is not wrong, it might indicate efficiency issues.

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